



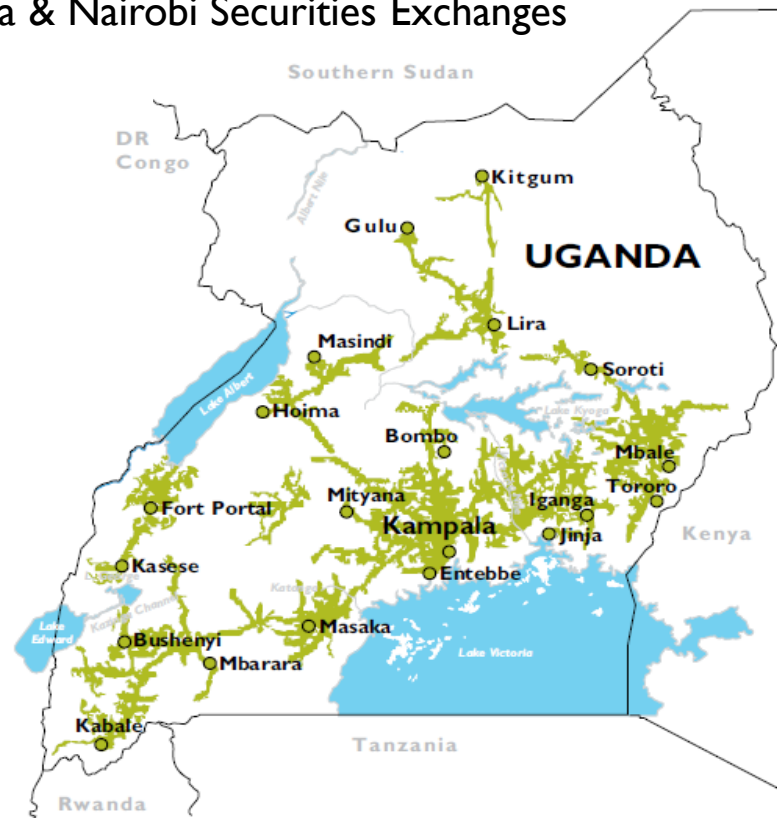
Umeme Limited
HI 2018 Investor Presentation

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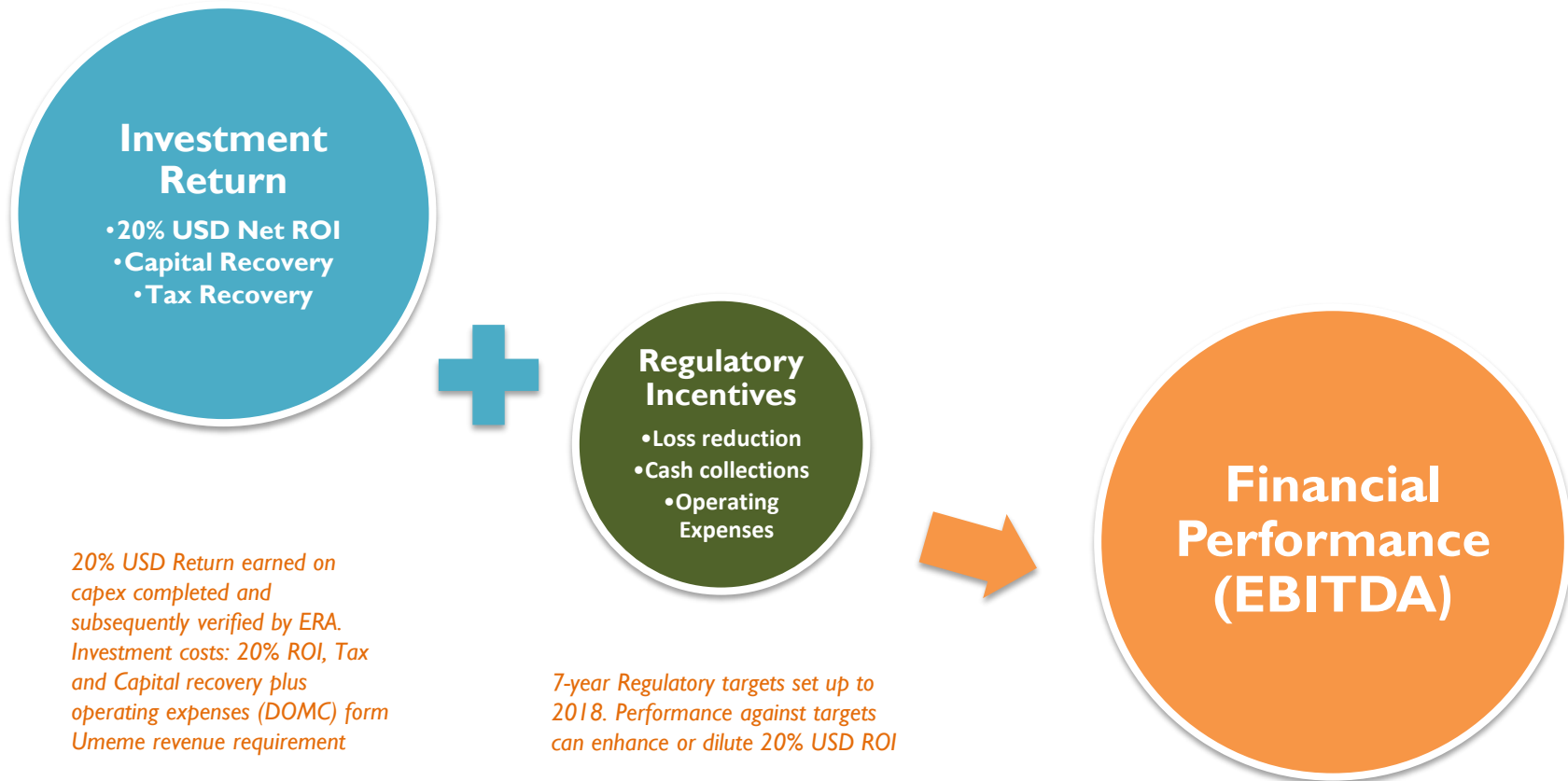
- ☐ Umeme & Electricity Sector Introduction
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Umeme - powering Uganda

- Twenty year concession to distribute electricity in Uganda (running to 2025)
- Contracted net **US\$ return of 20%** p.a. on investment
- Regulated by the Electricity Regulatory Authority with energy losses target, collections target and operating cost allowance targets set through 2018
- Secure cash flow: over 70% revenues from industrial, commercial and government customers
- Diversified investor base with listing on Uganda & Nairobi Securities Exchanges
- 98% Distribution market share
- Incentivised management and staff

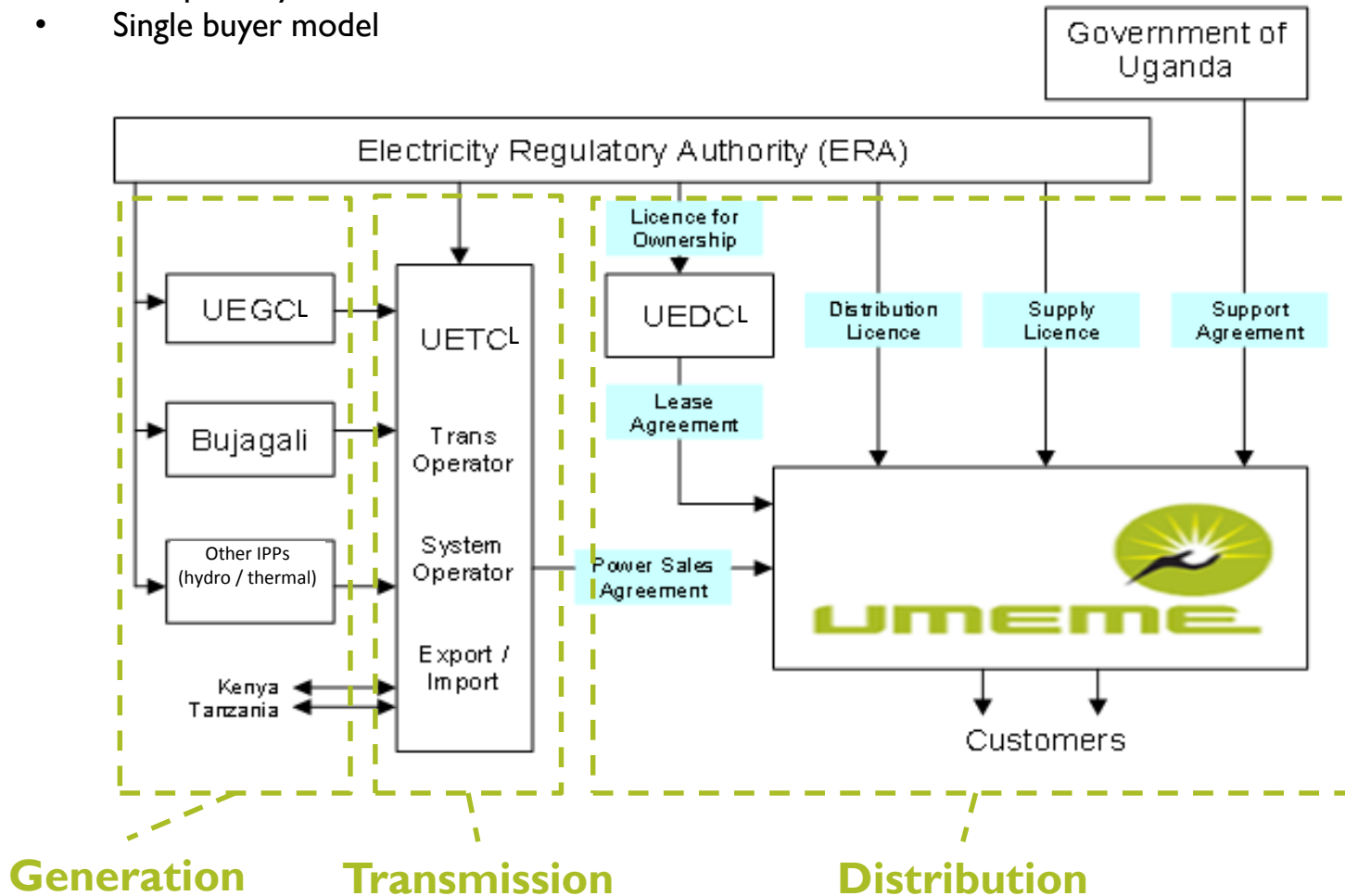


Umeme Value Drivers

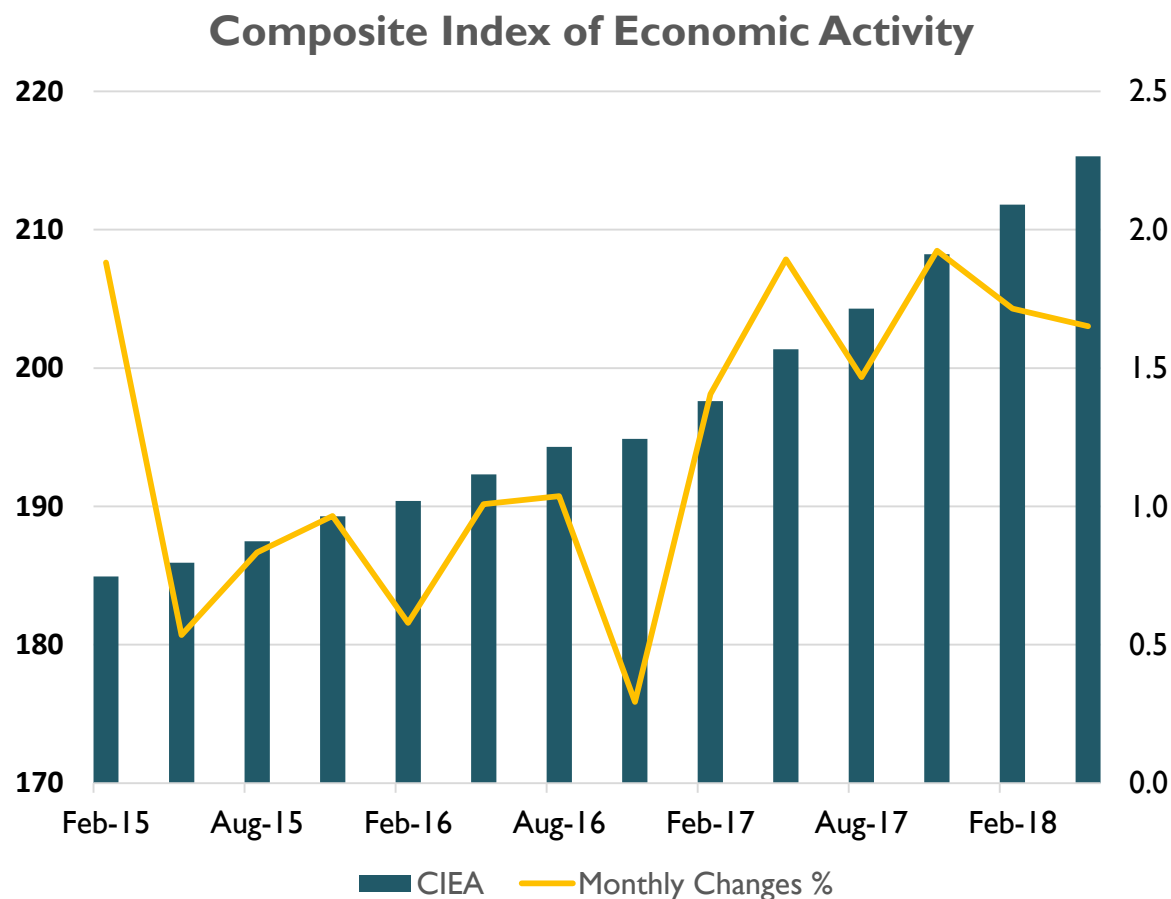


Uganda's power sector

- Uganda's electricity sector was liberalised in 1999, supported by World Bank
- Sector unbundled into generation, transmission and distribution to foster transparency & investment
- Single buyer model



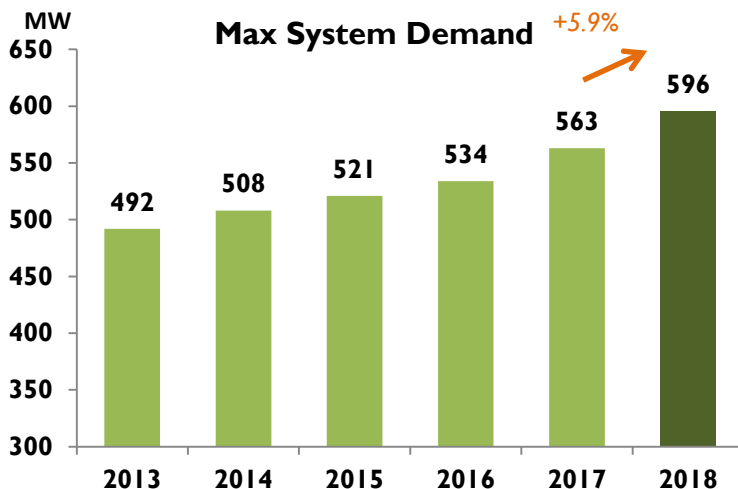
Macro Economic Update



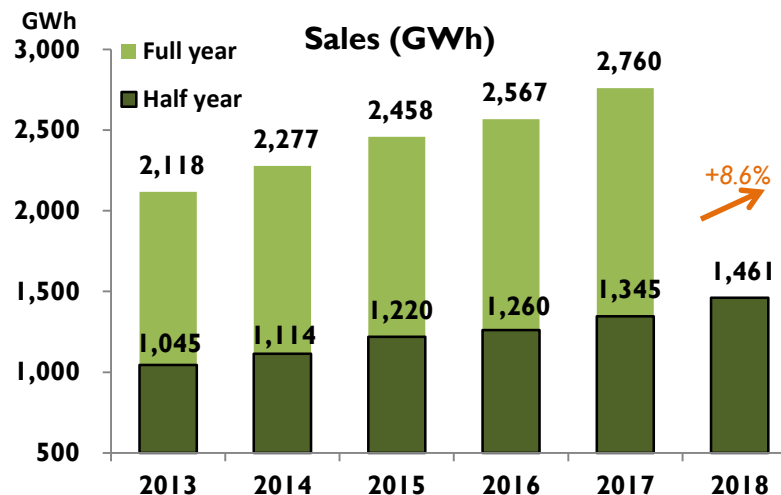
- Quarterly CIEA data points to improved economic activity
- Expansion in Private Sector Credit supporting growth
- Manufacturing sector YTD credit growth highest at 9.4%
- GDP growth expected to reach 6% in 2018/19 compared to 5.8% of 2017/18
- Headline Inflation – July 3.1%
- CBR – 9%

Source: Bank of Uganda

State of Electricity Supply



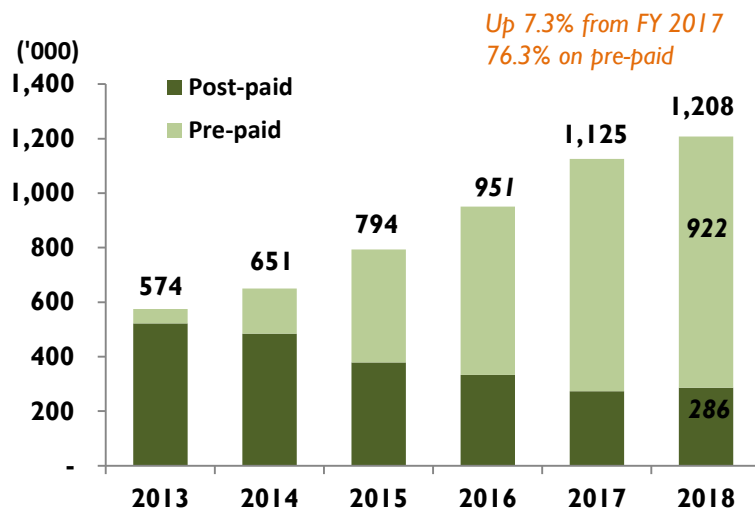
Source: UETCL



- Effective Generation – 688 MW
- Peak Demand excluding exports - +5.9%
- System Demand include exports – 637MW
- Generation Load Factor – 74%
- 5-Year Max Demand CAGR – 4.9%
- H1 2018 GWh sales up 8.6% (FY17: 7.5%)

Electricity Demand: +8.6%

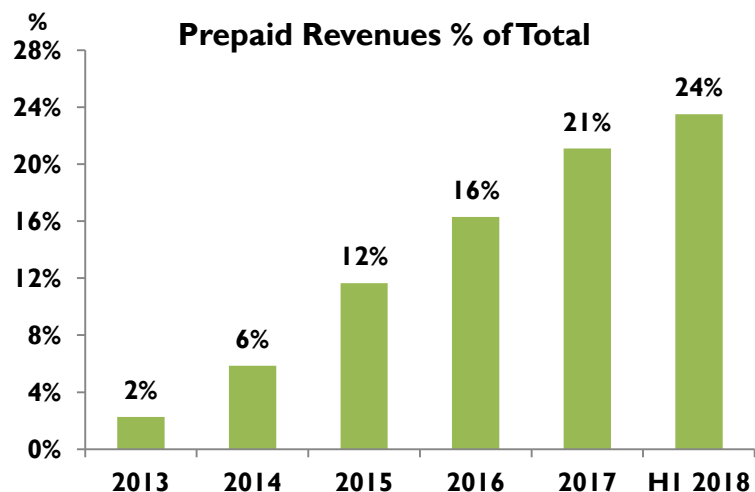
Customer numbers



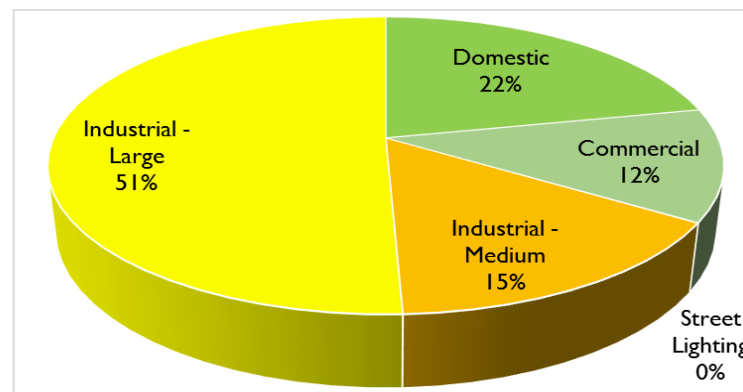
Sales (GWh) Growth

Category	GWh	Growth (y/y)	FY 2017 (%)
Domestic	317.5	+1.6%	+6.9%
Commercial	178.3	+7.9%	+5.7%
Street Lighting	0.5	-32.9%	-0.7%
Industrial - Medium	224.3	+6.3%	+3.0%
Industrial - Large	740.0	+12.9%	+9.7%
Total	1,460.7	+8.6%	+7.5%

Prepaid Revenue Share

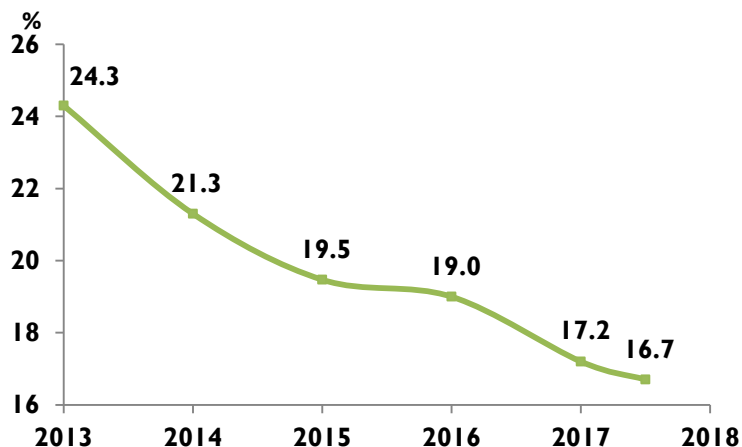


Sales (GWh) by Customer Category

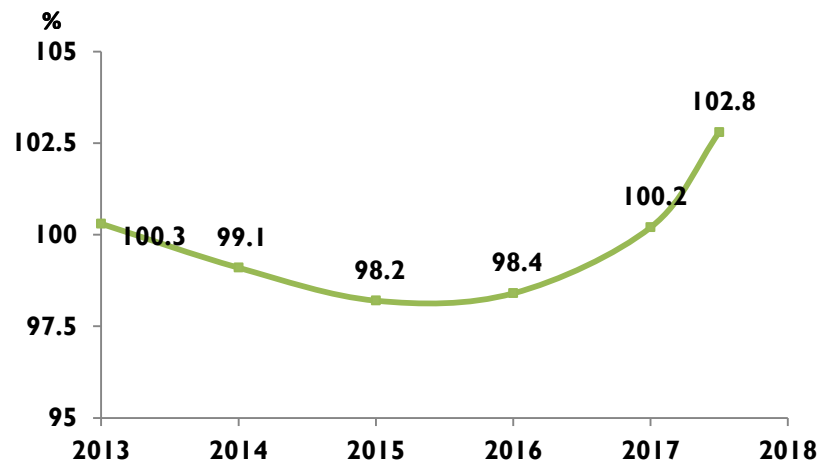


Operational Performance

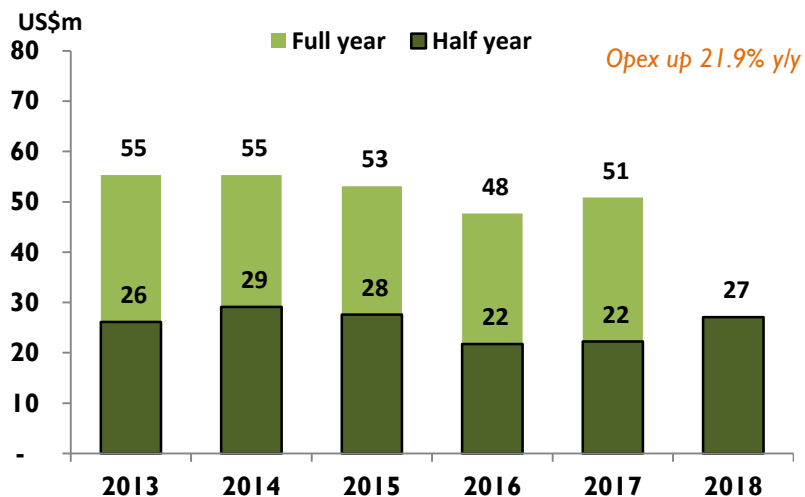
Energy Losses



Revenue collections



Operating costs



Regulatory targets*

Tariff parameter	'13	'14	'15	'16	'17	'18
Energy losses (%)	19.6	21.0	18.9	17.4	16.1	15.1
Collection rate (%)	81.1	97.5	97.7	97.9	98.2	98.5
Operating allowance (US\$m) **	36.5	44.4	45.7	47.2	48.7	50.2

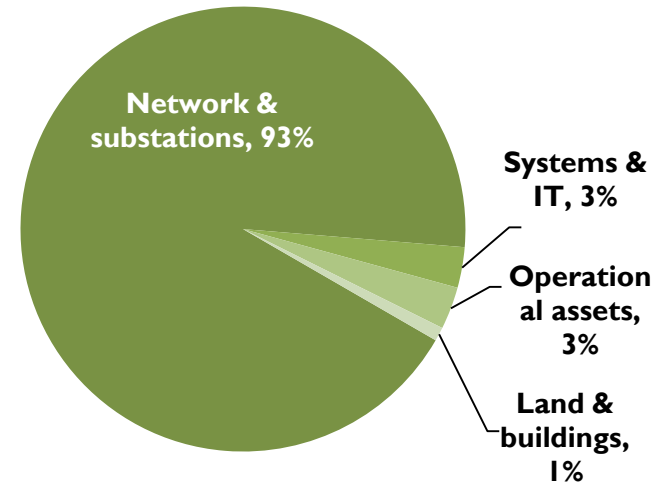
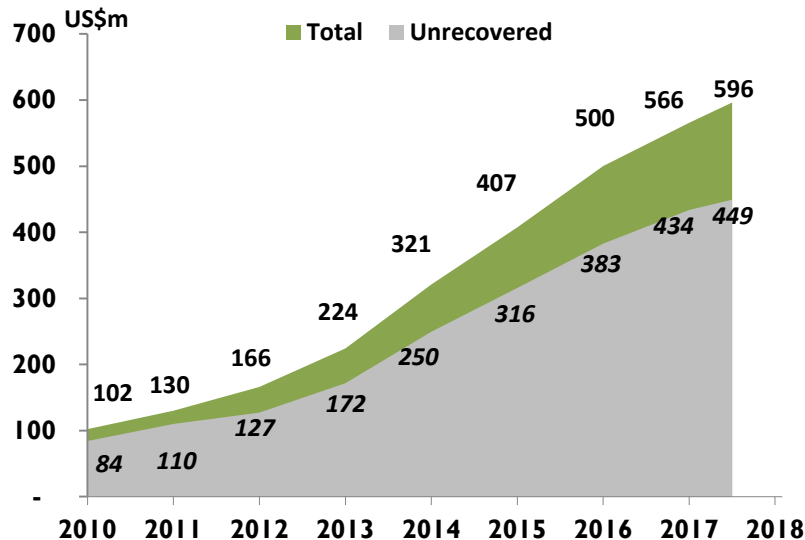
* Umeme financial year (Jan-Dec). Tariff year runs from 1st March

** Allowance is adjusted annually for international and local inflation

Capital Investments

Cumulative Capital investment

US\$ 31m invested in H1 2018



Sample projects in 2018

Load Growth

- Kampala Industrial Business Park/Namanve 33kv Industrial Ring
- Upgrade of Gulu sub-station
- Nyakesi substation, Tororo
- Kawanda-Kapeeka Load Transfer

Pre-payment Metering

- Government of Uganda Time of Use
- New connections

Quality of Supply

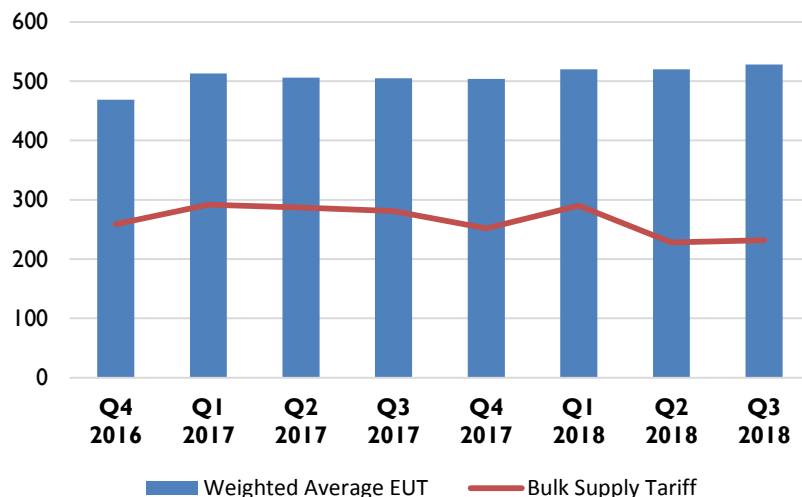
- Namanve Industrial Park

Regulatory Updates

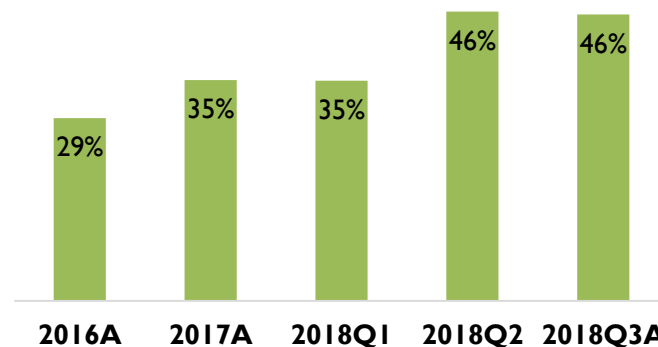
- Recovery of US\$ 103.7 billion lifeline tariff revenue was included in Q2 and Q3 2018 tariffs
- Bujagali Energy Limited refinancing was completed – effect of 15% reduction in large industrial tariffs
- Offsets of USD 8.5m effected for arrears government installations (post-paid accounts)
- 331 out of 469 government installations converted to pre-paid metering
- Pending unrecognized Capex by ERA – US\$ 93m
- Engagement on tariff parameters for 2019-25 ongoing

Electricity Tariff Developments

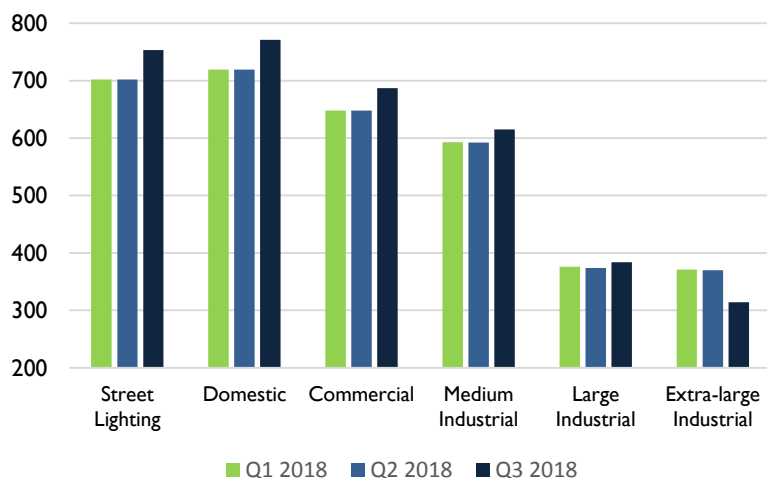
End User Tariff (UShs)



Umeme Distribution Margin (%)



Tariff per consumer category (UShs)



- Weighted Average End User Tariff up 1.5% YTD
- Bulk Supply Tariff reduced by 21.4% in Q2 2018
- Bujagali Refinancing benefits (generation tariff down from 11 cents from 8 cents) passed onto extra-large industrial category to drive consumption
- Recovery of UShs 103.7 billion lifeline tariff revenue started in Q2 2018
- Distribution Margin increased as a result of lifeline revenue recovery

Financial Performance (US\$)

Financials Summary (US\$m)

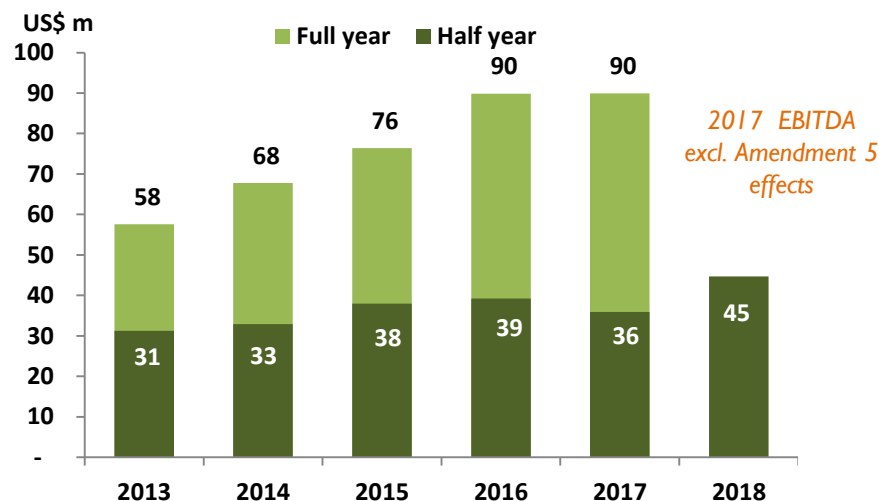
Income Statement	HI 2018	HI 2017	%ch
Revenue	198.8	195.2	+1.9%
Cost of Sales	(128.2)	(134.8)	-4.9%
Gross Profit	70.6	60.4	+16.9%
Operating Expenses	28.4	22.2	+9.8%
EBITDA (ex Amendment 5)	44.7	35.9*	24.5%
Finance Costs (ex. lease)	8.0	8.2	-0.3%
PBT (Adjusted)	23.2	16.2*	43.2%
Tax Rate	29.2%	30%*	-
Profit After Tax	16.3	11.3*	+44.2%

* Adjustments for effects of Amendment 5

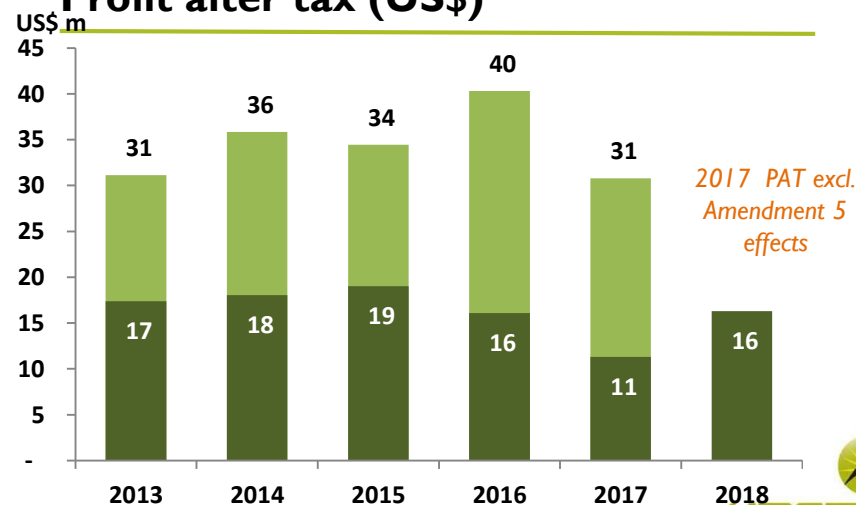
** Assuming 30% tax rate on adjusted PBT.

Financial Position at	HI 2018	FY 2017	%ch
Total Assets	651.1	645.0	+0.9%
Shareholders Equity	181.7	169.6	+7.1%
Net Debt	174.0	187.0	-7.0%

EBITDA (US\$)



Profit after tax (US\$)



Financial Performance (US\$bn)

Financials Summary (US\$bn)

Figures are rounded.

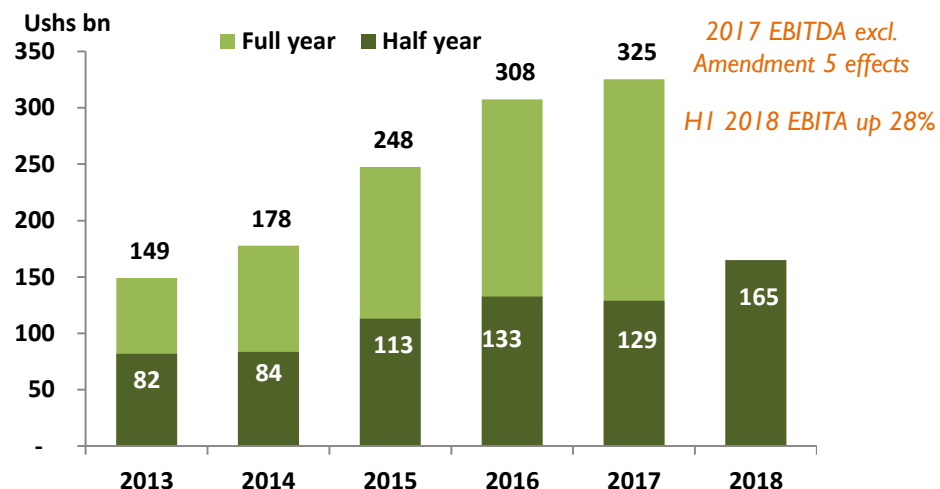
Income Statement	HI 2018	HI 2017	%ch
Revenue	735.8	704.4	+4.5%
Cost of Sales	(474.4)	(486.4)	-2.5%
Gross Profit	261.5	218.0	+20.0%
Operating Expenses	105.6	93.3	+13.1%
EBITDA	165.0	129.0*	+27.9%
Finance Costs (ex.lease)	29.6	29.1	1.6%
Profit Before Tax	87.3	58.6*	49.0%
Tax Rate (%)	30.1*	30**	
Profit After Tax	61.0	41.0*	+48.9%
EPS	38.0	25.3*	+48.9
DPS (Interim)	12.7	0.0	-

*Figures adjusted for effects of Amendment

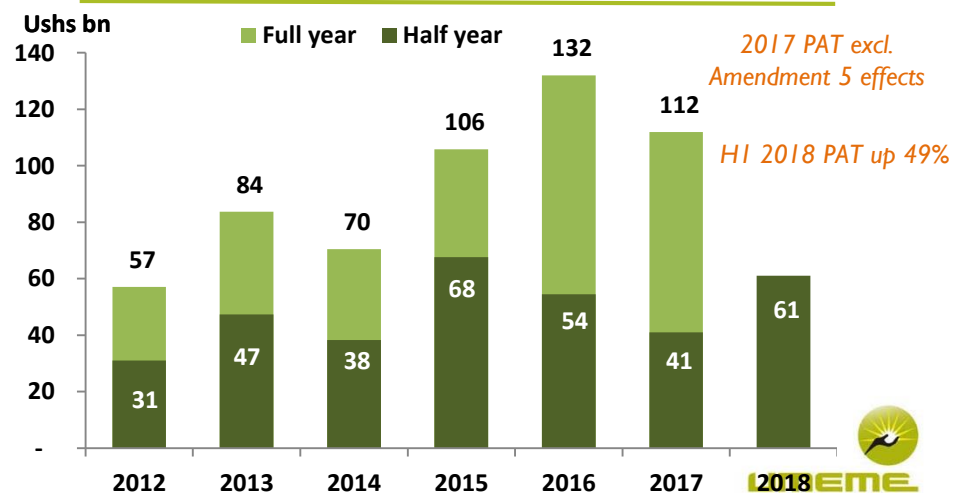
**Assuming 30% tax rate.

Financial Position at	HI 2018	FY 2017	%ch
Total Assets	2,529.2	2,349.4	+7.7%
Shareholders Equity	706.0	617.7	+14.3%
Net Debt	676.0	681.2	-0.8%

EBITDA (US\$bn)

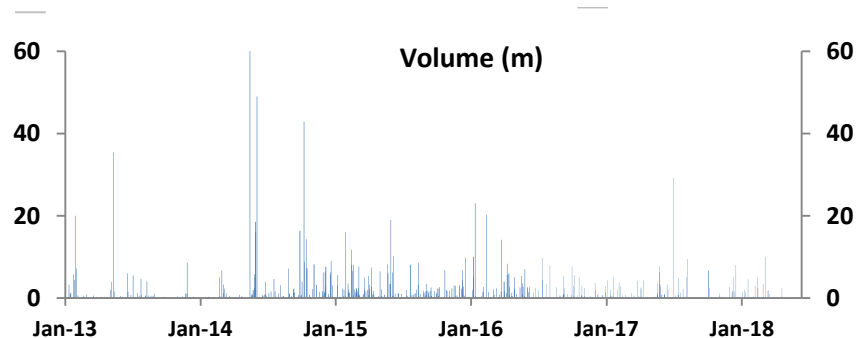
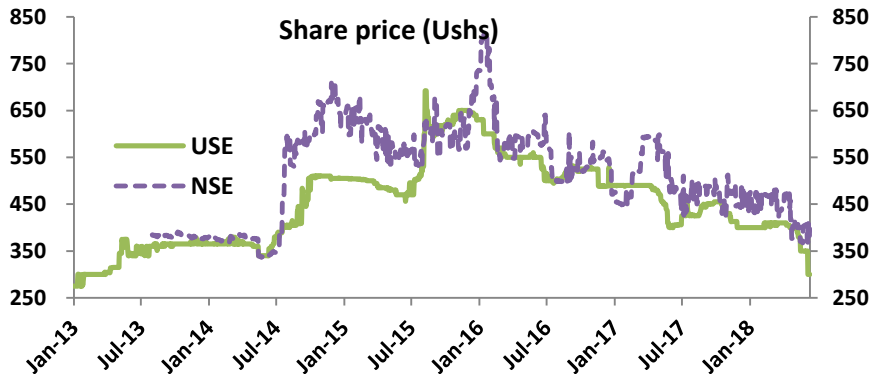


Profit after tax (US\$bn)



Trading Update

Market cap US\$153m at UShs 346 share price



	Dec-17 ⁽¹⁾	At IPO
P/E	5.0x	10.8x
EV/EBITDA ⁽²⁾	3.5x	3.9x
P/(Buyout amount less net debt) ⁽³⁾	0.5x	1.2x
Dividend Yield (HI 2018 Annualized)	7.3%	-
Return on unrecovered investments (US\$) ⁽⁴⁾	8%	16%

Notes

⁽¹⁾ Actual 12 months to 31st December 2017. Multiples calculated on adjusted EBITDA & PAT excluding Amendment 5

⁽²⁾ EBITDA excludes finance income/cost & FX gain/loss. Includes interest on bank deposits

⁽³⁾ Indicative assuming GoU termination premium of 20% of unrecovered investment

⁽⁴⁾ Prior year unrecovered investment base

❑ Market cap US\$153m at UShs 346 share price

❑ Year to Date daily value traded at US\$ 27.5k

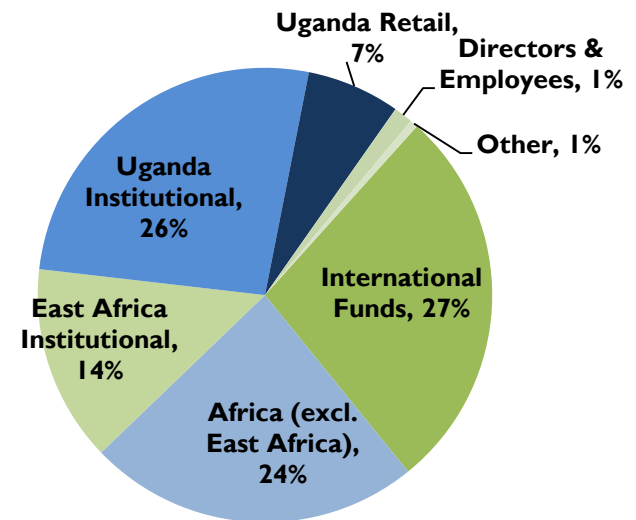
Shareholder Update

Shareholder Summary

No.	Top 20 Shareholders (Jun 2018)	% Held
1	National Social Security Fund Uganda	23.2%
2	Allan Gray*	10.0%
3	Kimberlite Frontier Africa Master Fund	8.6%
4	Utilico Emerging Markets Limited	4.5%
5	Investec Asset Management Africa Fund	4.3%
6	Imara SP Reid	4.1%
7	The Africa Emerging Markets Fund	3.9%
8	International Finance Corporation	2.8%
9	Coronation Global Opportunities Fund	2.6%
10	Duet Fund	2.5%
11	Vanderbilt University	1.2%
12	Conrad N Hilton Foundation	1.1%
13	Boutique Collective Investments	1.1%
14	Kuwait Investment Authority	1.0%
15	Central Bank Of Kenya Pension Fund	0.9%
16	William Byaruhanga	0.8%
17	National Social Security Fund Kenya	0.6%
18	Sudhir Ruparelia	0.6%
19	Frontier Market Opportunities Master Fund	0.6%
20	Stanchart Nominees NR A/C 9318	0.5%
	Other	25.1%

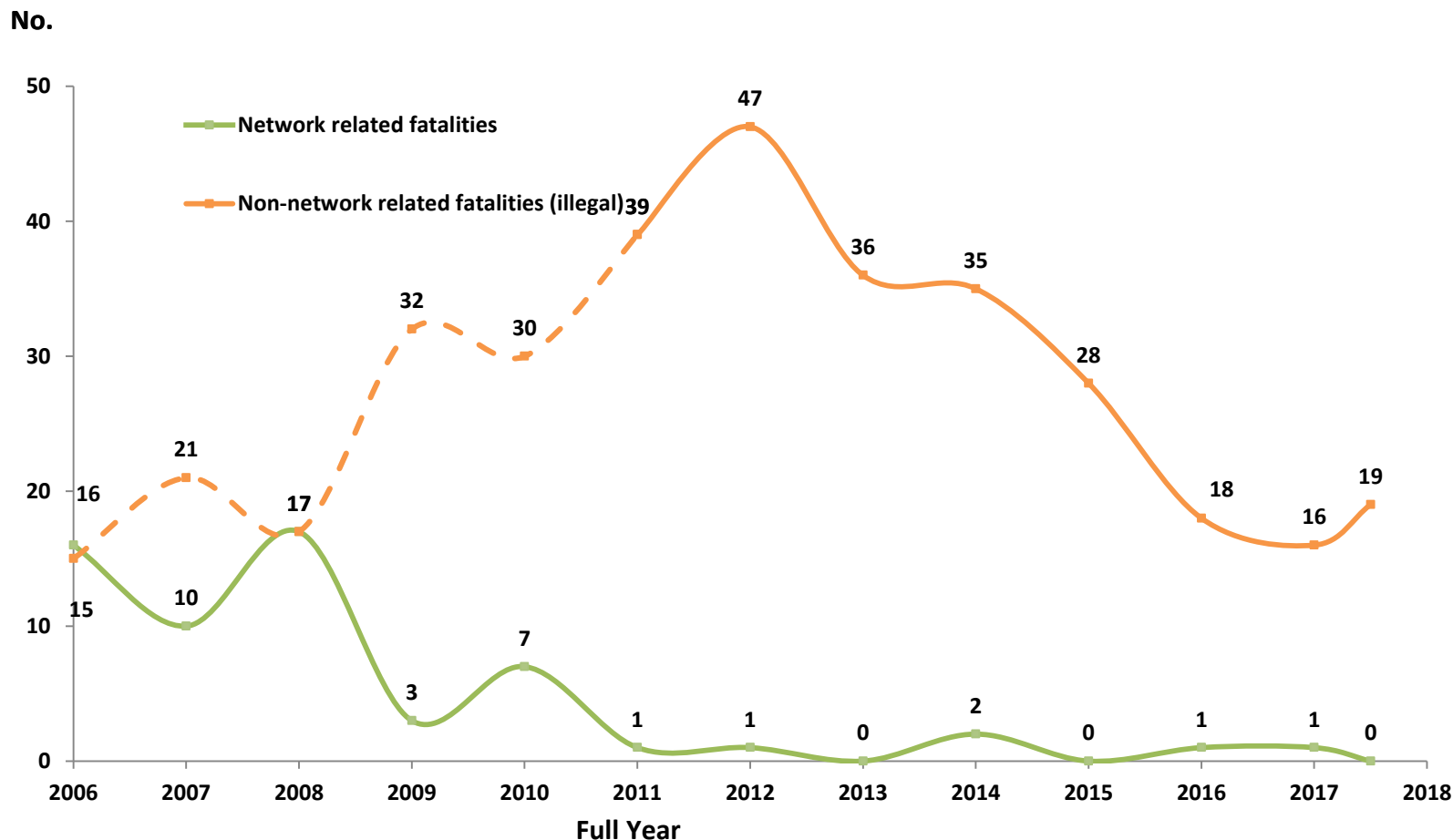
*Aggregated accounts

Umeme Shareholder Distribution



Safety of Staff & the Public

No network related fatality in HI 2018



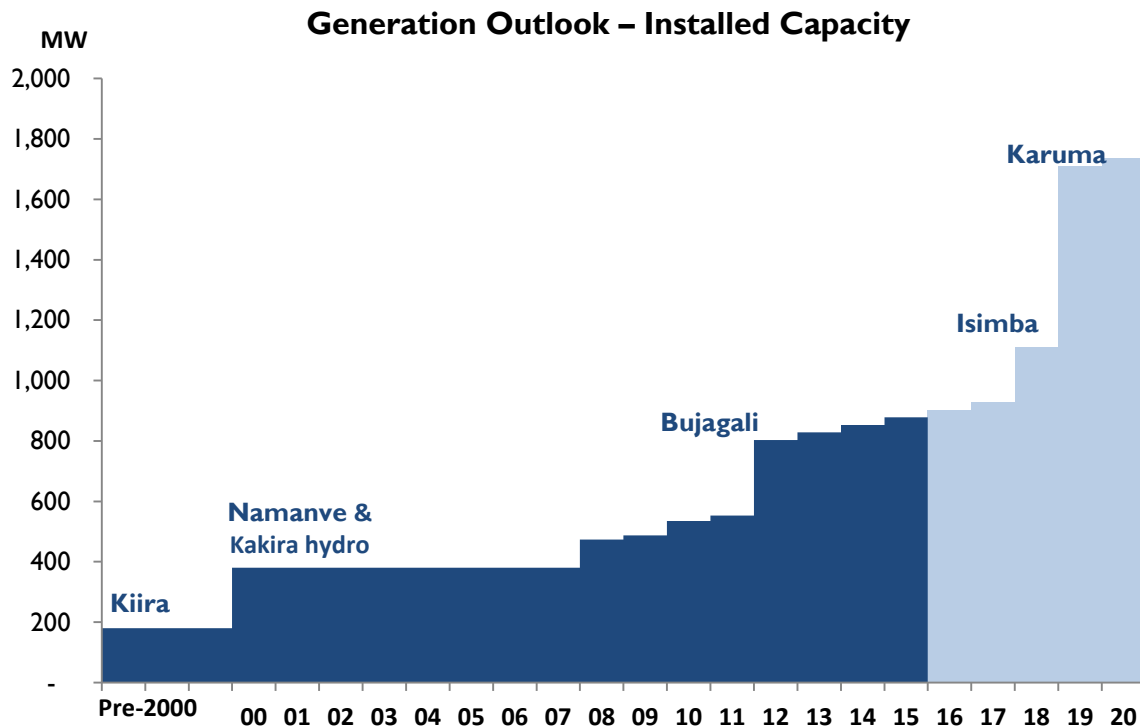
Non-network fatalities incl. power theft, domestic electrics, network interference, way-leaves encroachment and unauthorized operations

Priorities for H2 2018

- ☐ Conclude negotiation of 2019-2025 tariff parameters with ERA
- ☐ Continue the concession extension work stream
- ☐ Evaluate medium term capex financing options
- ☐ Engage ERA on outstanding income recoveries, including capital investments
- ☐ Delivery of core financial performance drivers (costs, collections, energy losses and growth)
- ☐ Implementation of ICT Systems (SAP & HRIS)
- ☐ Organizational readiness for growth

Generation Pipeline

Generation Pipeline + 1000MW



Large-hydro:

- ✓ Karuma - 600 MW (71% completed)
- ✓ Isimba - 183 MW (76% completed)
- ✓ Agago-Achwa – 83 MW
- Ayago - 600MW
- Orianga - 400MW
- Kiba - 290MW
- Agago-Achwa – 83 MW
- Muzizi - 44MW

Mini-hydros (GET-FIT): 156.5 MW inc.

- ✓ Siti I – 5 MW
- ✓ Waki – 4.8 MW
- ✓ Lubilia – 5.4 MW
- ✓ Rwimi – 5.5 MW
- ✓ Muvumbe – 6.5 MW
- ✓ Nyagak 3 – 5.4 MW

Other

- ✓ Soroti Solar – 10 MW
- ✓ Tororo Solar – 10 MW
- Siti II - 16.5 MW
- Kikagati – 16 MW
- Kabale Peat plant 33 MW
- Kabale geothermal 30MW

Isimba Hydro Power Project

Isimba Hydro Power Project (183 MW)

Status: 87%



Source: Uganda Electricity Generation Company Limited

Karuma Hydro Power Project

Karuma Hydro Power Project (600 MW)

Status: 75%



Source: Uganda Electricity Generation Company Limited





Thank You